

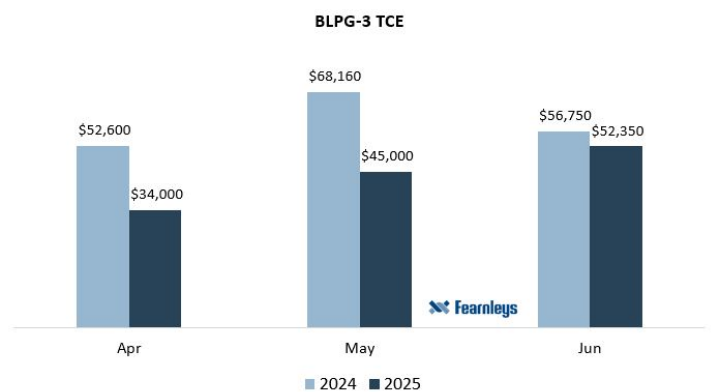
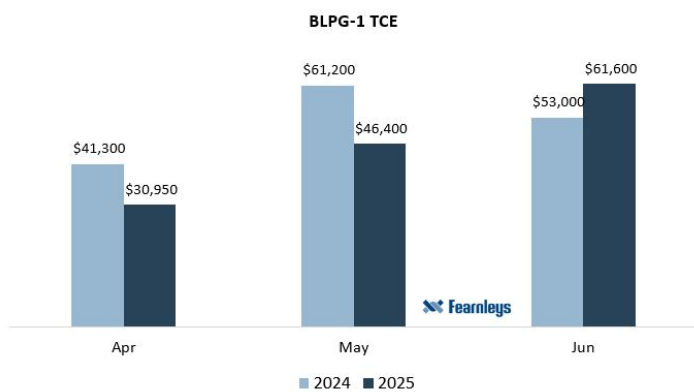
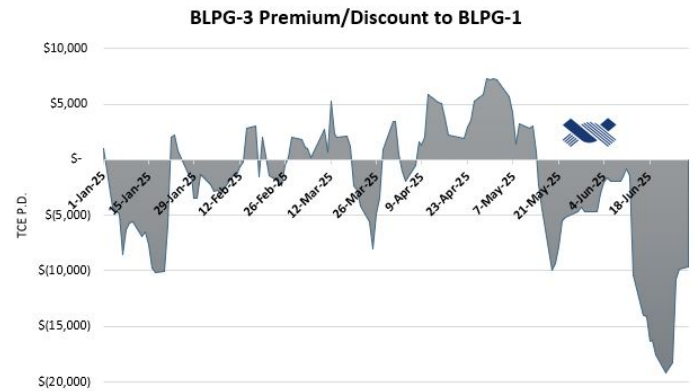
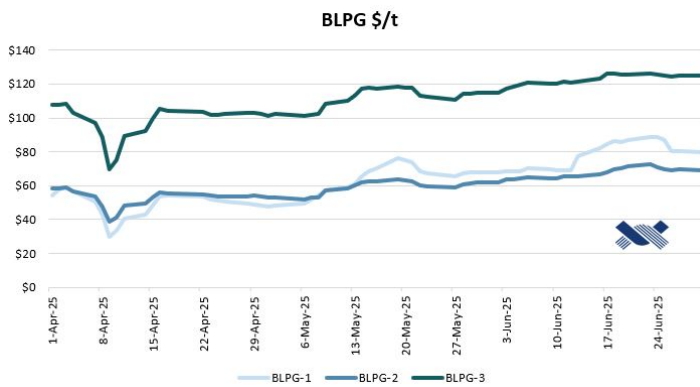
VLGC Quarterly Report - Q2 2025

Jul 8, 2025

Mia Willoch



Freight rates & Earnings



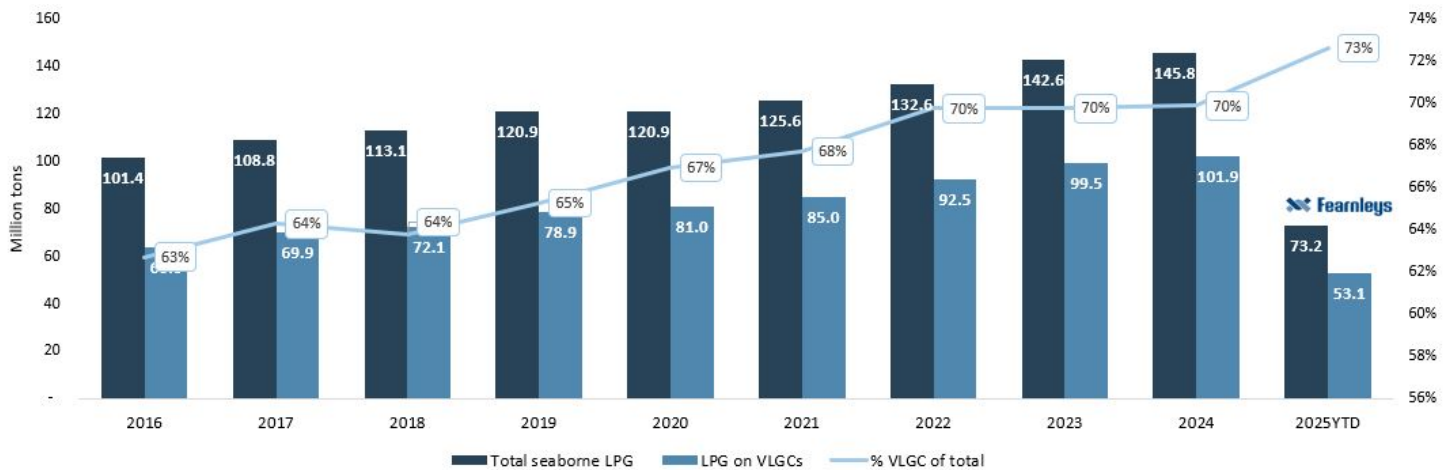
Average monthly TCE per day

During the second quarter of the year, average daily spot earnings across the three index routes reached \$50,500 per day. This brought the year-to-date average up from \$36,000 to \$43,000 per day—still 24.5% lower than the same period last year.

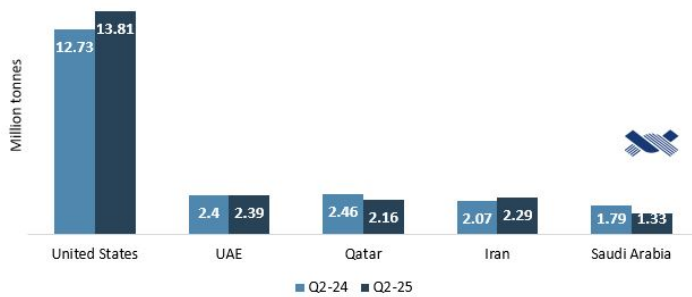
The quarter began on a turbulent note, marked by the U.S. President's "Liberation Day" announcement on April 2nd, which introduced a broad package of import duties, significantly impacting trade relations with China. In response, China imposed retaliatory tariffs, triggering a sharp market reaction and a steep decline in earnings around April 11th. Although the situation worsened briefly, trading patterns soon adjusted, and rates rebounded.

Later in the quarter, geopolitical tensions escalated between Israel and Iran, culminating in missile attacks and a near war-like environment. In June, Iran threatened to close the Strait of Hormuz—a critical chokepoint for LPG exports. A closure would effectively block the UAE, Qatar, and Kuwait from their export routes. These three countries collectively account for 60% of the region's LPG exports, or approximately 28 million tons, which would need to be sourced elsewhere. This development severely constrained regional exports, while heightened security risks discouraged Owners from fixing new cargoes. As a result of this scarcity of Middle Eastern cargoes, BLPG-1 maintained a significant premium over BLPG-3, as illustrated in the graph above.

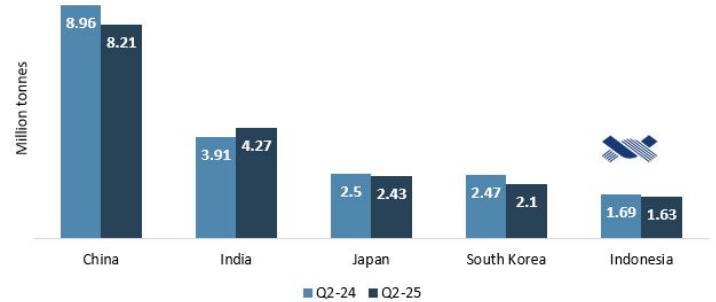
Exports and Imports



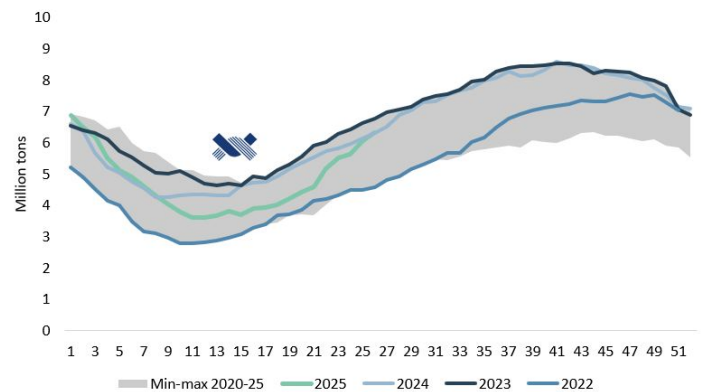
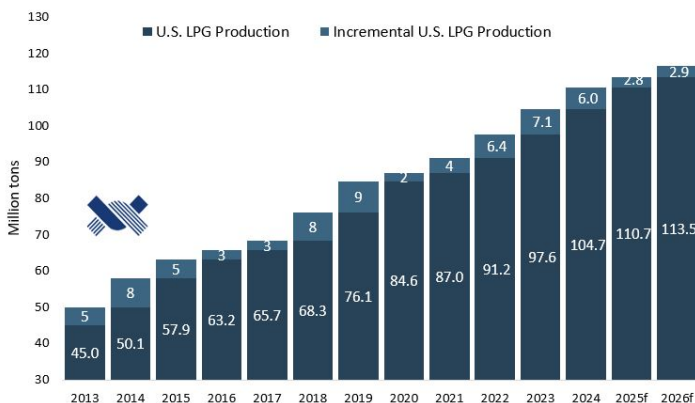
Top Exporters



Top Importers



U.S. Production and Terminal Capacity Expansion



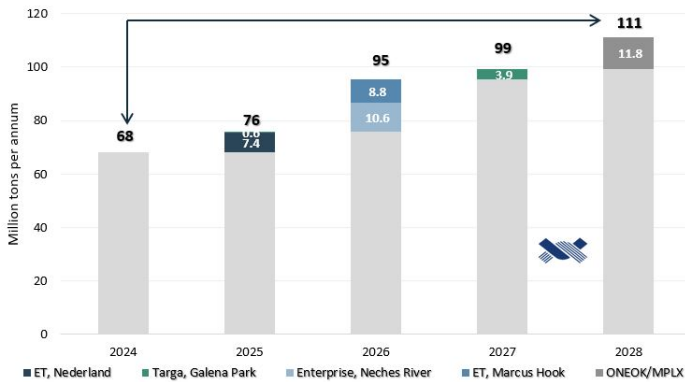
U.S. LPG production continues to rise, with total output increasing by 27.25% over the past five years. While growth is expected to slow to approximately 5% over the next three years, export capacity is projected to expand significantly during the same period. Domestic consumption remains stable, as do export levels, which continue to hover around 60%.

VLGCs account for 82% of all seaborne LPG exports from the U.S., totaling 52 million tons in 2024, and 29.5 million tons so far in 2025.

Regarding routing patterns, the majority of laden vessels heading east from the U.S. opt for the Panama Canal. Year-to-date data shows that 83% of these voyages have taken this route rather than sailing around the Cape of Good

Hope. In contrast, approximately 35% of ballasting vessels returning to the U.S. from the East choose the Cape of Good Hope route.

The announced capacity expansions from several U.S. terminals have boosted market confidence going forward, as this incremental supply is likely to fulfill the expanding fleet's needs better than previously anticipated. *See an overview of the announced capacity increases below.*

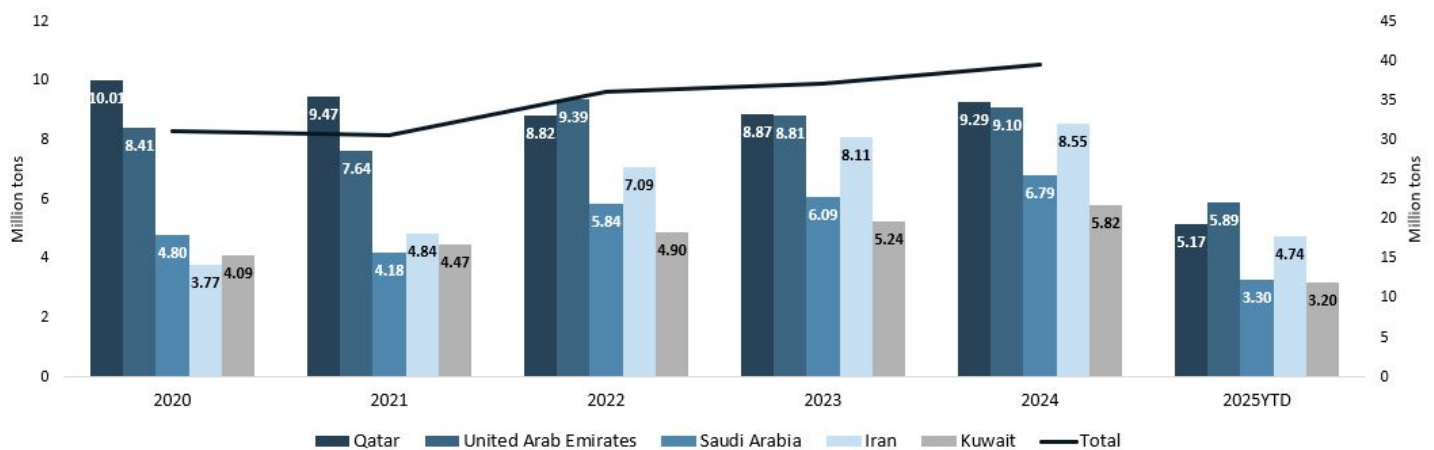


It should be noted that both the Nederland and Neches River facilities will offer flexible capacity for LPG and ethane volumes. Given the recent growth in U.S. ethane exports, it is expected that a portion of these volumes will be allocated to ethane rather than LPG. Now that U.S. ethane suppliers are granted permission to discharge in China, as normal, we expect this trade to continue growing in line with its large orderbook (216% to fleet).

Total U.S. export capacity is set to increase from 68 to 111 MTPA by 2028 with the completion of these projects. This would boost export capacity by 65% from 2024 to 2028—a substantial jump that is warmly welcomed by a growing fleet.

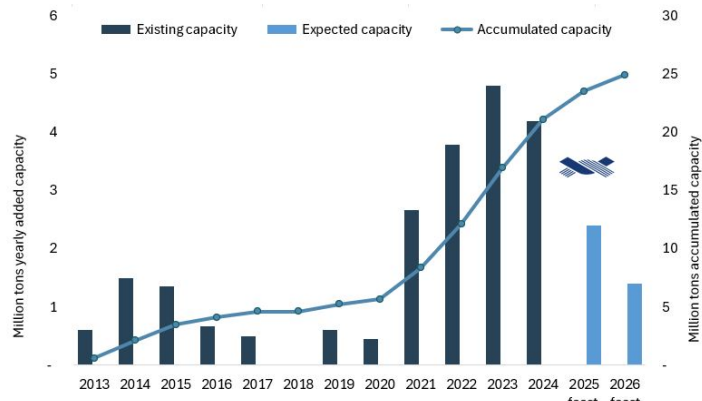
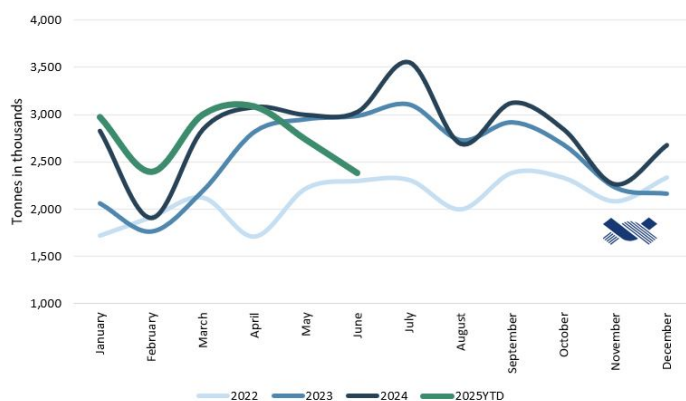
What will materialize as the *actual* incremental exports is yet to be seen; however, it will likely be less than the full capacity numbers. Nevertheless, this move by U.S. energy suppliers further underscores the market's desire to expand and grow.

The Middle East



LPG exports from the Middle East has been strong in the first half of the year, with total volumes surpassing 21 million tons. The long-awaited natural gas projects in Qatar will come online (North Field East) next year, which is expected to bring with it incremental LPG volumes. Additionally, in 2027 (North Field South), will further support the increased exports. Approximately 4.2 MTPA is expected in 2026, and another 2 MTPA in 2027, which would increase the regions export capacity from 46 to 52 MTPA. This additional supply of LPG will be beneficial to the fleet expansion that will occur at the same time.

Chinese Demand

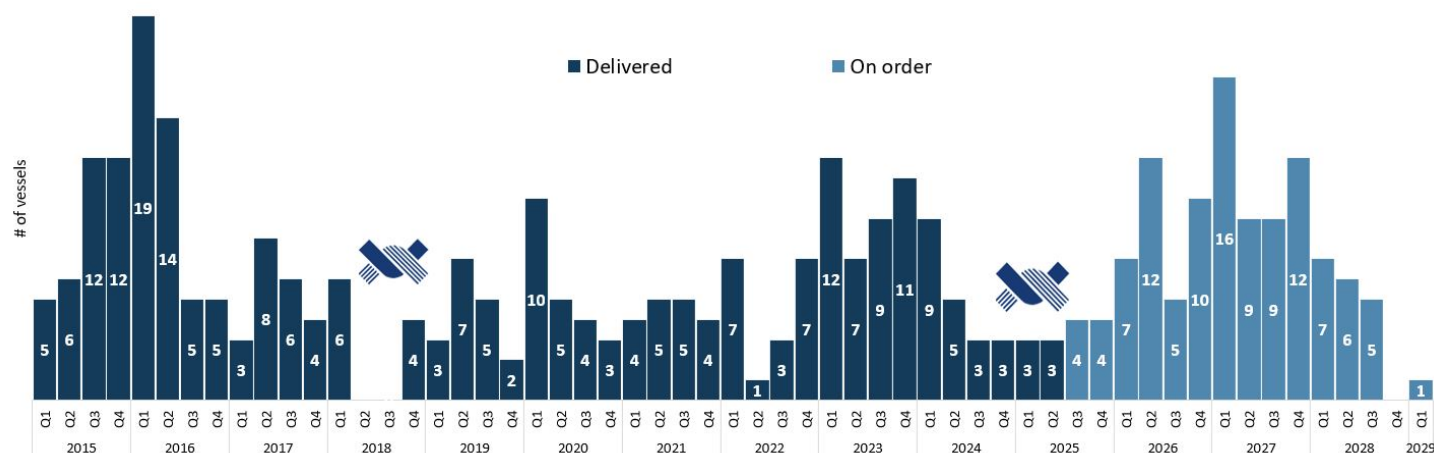


As a natural response to the tensions that have occurred between the two power nations, Chinese imports decreased slightly during Q2, compared to Q1. They imported a total 8.24 million tons this past quarter, and 19.9 million tons on a year-to-date basis.

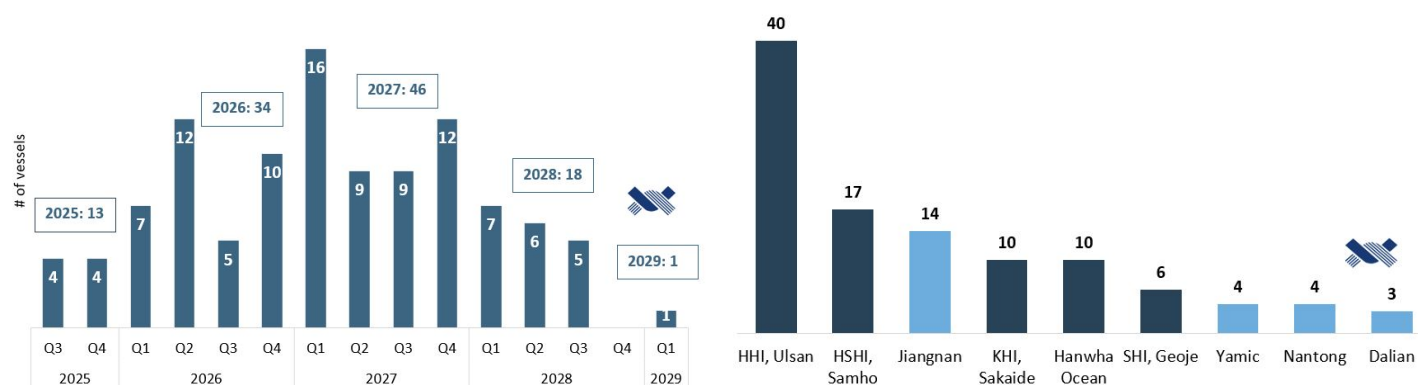
The majority of this demand is still driven by the petrochemical sector and continuous increased PDH (propane dehydrogenation) capacity coming online. Chinese PDH plants are still struggling with negative margins, however, their run rates have recently improved slightly in line with the flat price decline. The incremental capacity planned to come online in the following quarter, is likely to be pushed back into Q4, or 2026.

After a trade war escalating with increased tariffs on each country, the final verdict was reached in May, where China ended up with a 10% tariff on U.S. LPG. This creates an economic equation where U.S. LPG is still the most attractive, and they have yet again regained their competitive advantage, compared to the Middle East. In terms of the USTR and their attempt to impose port call fees on Chinese-built and/or -operated ships, the impact on VLGCs appear to be small. For Chinese-built ships, they are exempted as they are always arriving in ballast, not laden. Although, for Chinese-controlled/owned ships, there will be fees, starting from October 2025.

Fleet and Orderbook



Newbuilding activity has been low in the first half of 2025, with 3 ships delivered in Q1 and another 3 in Q2. There is another 4 expected in Q3 and Q4, as well. The remaining number of deliveries for the year is 8, giving a total of 13 newbuilds. The fleet now stands at 406 ships, including floating storage. The orderbook consists of 108 ships, resulting in an orderbook-fleet ratio of 26%, which is slightly above the 20-year average of 21%. Nonetheless, the fleet is set to grow by 19.4% through 2026 and 2027 in total, which could set off the fleet balance in a surplus.



Hyundai in South Korea remains the largest builder of newbuilds, while one quarter of the newbuilds are being constructed in China (bars shown in light blue in chart above). The proposed port call fees by the USTR, on Chinese-built and/or -operated ships, has been clarified as only applicable for laden ships calling U.S. ports. This is rarely the case for VLGCs, thus we can exclude this possibility.

After two consecutive years of record-number orders placed for VLGC newbuilds, only a couple of ships has been ordered in 2025. Even though overall yard capacity remains tight, due to strong activity from other segments, the current price for a VLGC newbuild is around \$118 million. Due to the many uncertainties in the geopolitical sphere, all markets have experienced a lack of investments the past quarter.

Outlook

Following a quarter marked by exceptional uncertainty, the market has now stabilized into a “new normal,” with earnings rebounding sharply to a year-to-date average of \$43,500 per day. We anticipate that earnings will remain within the \$50,000–\$60,000 per day range for the remainder of the year.

The upcoming increase in U.S. export capacity, expected to come online in Q3, is likely to support earnings further. Looking ahead to 2026, additional capacity expansions in the U.S., combined with a projected supply boost from the Middle East, are expected to help offset the impact of fleet growth. Notably, 34 newbuild VLGCs are scheduled for delivery next year, and the added supply should help balance the market.

The fleet will continue to grow, and whether this additional tonnage will be absorbed depends on the realized increases in exports from both the U.S. and the Middle East. Additionally, the sailing pattern of the fleet remains volatile, where each voyage's choice between the Panama Canal or the Cape of Good Hope impacts the fleet's availability and capacity. The first of many VLACs (Very Large Ammonia Carriers) will be delivered next year; however, we do not separate these ships from VLGCs in the fleet, as the only difference is that they can carry ammonia at 98% capacity. They will likely trade LPG as regular VLGCs for the coming years, as the infrastructure to load and discharge ammonia on such large ships is not yet developed.

The Panama Canal has now started the Long Term Slot Allocation System, which takes up 40% of the capacity in the Neo-panamax locks. Panamaxes will therefore likely have an advantage in order to transit. However, half of the order-book consists of Panamaxes, so this capacity is also going to change going forward.



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